

Mind Over Markets

Companies to be divested by March 2010

PSUs	MARKET CAP	VALUE OF 10%
REC	21,599.60	2,159.96
NMDC	1,65,943.20	16,594.32
NTPC	1,71,464.40	17,146.44
SJVN	NA	NA
Total	Rs 35,900.72 cr	

Biggies among 50 PSUs in the queue for 2010-11

MMTC	1,78,832.80	17,883.28
Engineers India	7,748.10	774.81
Hindustan Copper	24,171.30	2,417.13
National Fertiliser	3,137.20	313.72
SBI	1,42,740.10	14,274.01
BHEL	1,17,964.50	11,796.45
SAIL	87,956.90	8,795.69
Neyveli Lignite	2,49,140	2,491.40

Market capitalisation as on Dec 14, 2009. Figures in Rs crore.

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We hope to see faster progress in sale of a portion of state holdings in the PSUs in the domestic market.”

PRANAB MUKHERJEE, Finance Minister

long-term. As Moody's Economy.com puts it, "For the severely cash-strapped authorities, proceeds from disinvestment can help to soothe the current fiscal stress."

The optimism may appear premature given the chequered history of disinvestment. For all the hype and rhetoric since India started flirting with the idea in 1991, successive governments have managed to garner just Rs 62,000 crore through disinvestment. Of the 60 listed PSUs that command a total market capitalisation of Rs 17,77,190.85 crore as on December 14, the Government still holds over 90 per cent stake in about 12. **FICCI President Harshpati**

Singhania says since 2005-06 no target has been set for disinvestment. "There is a need to bring back disinvestment into the mainstream economic agenda," he says.

Thanks to the elusive consensus on how to disinvest, indeed the phrase 'privatisation' has ceased to figure in the policy lexicon post-UPA. This transfer of sliced ownership is UPA's first step since 2004. What puts the Government on a firmer footing this time is a roadmap of calibrated stake sales to earn big bucks. The Department of Disinvestment will divest 10 per cent in 50 companies having a three-year profit record. This makes eligible gems like mining

major Neyveli Lignite Corporation, Engineers India, Coal India and BSNL. First on the block are NMDC, National Thermal Power Corporation, Rural Electrification Corporation (REC) and Satluj Jal Vidyut Nigam which are expected to be divested by March 2010. The Government could also be looking at a tentative list of 25 unlisted PSUs like Nuclear Power Corporation of India, SBI Capital Markets and UTI Asset Management. "The yardsticks for listing them will vary as each PSU has different capital structures, financial strength and differing status in compliance with mandatory listing requirements," says Sunil Mitra, secretary, disinvestment. According to him, proceeds of the stake sale will flow into the National Investment Fund (NIF) created in 2007. It had then been decided that 25 per cent of the annual income of the fund would be invested in modernisation of profitable CPSUs, and the bulk 75 per cent would be used to finance selected social sector schemes. The Government has approved full utilisation of the money over the next three financial years to meet the stated expenditure requirements, adds Mitra.

Given that the process goes smoothly, even a 10 per cent dilution in public sector giants could fetch Rs 80,000 crore, says D.S. Rawat, secretary general, ASSOCHAM. More important, says Venu Srinivasan, president, CII, is fixing a target of raising Rs 25,000 crore annually which will provide consistency in the disinvestment policy. At the current market capitalisation, the divestment of shares in NMDC would fetch Rs 16,594.32 crore, NTPC Rs 17,146.44 crore, Neyveli Lignite 2,491.40 crore, REC Rs 2,159.96 crore, MMTC Rs 17,883.28 crore, BHEL Rs 11,796.45 crore, Engineers India Rs 774.81 crore, Hindustan Copper Rs 2,417.13 crore and Steel Authority of India Rs 8,795.69 crore.

Going by all this, disinvestment would seem to be a one-stop shop for many solutions. But many procedural obstacles remain to be cleared. There is the unresolved issue of dissolving the NIF—the Government is weighing